

Business Responsibility & Sustainability Report

ANNEXURE D OF BOARD'S REPORT

SECTION A: GENERAL DISCLOSURES

I. Details of the listed entity

1.	Corporate Identity Number (CIN) of the Listed Entity	L65910DL1986GOI024862
2.	Name of the Listed Entity	Power Finance Corporation Limited
3.	Year of incorporation	July 16, 1986
4.	Registered office address	'Urjanidhi', 1, Barakhamba Lane, Connaught Place, New Delhi - 110 001
5.	Corporate address	Same as above
6.	E-mail	investorsgrievance@pfcindia.com
7.	Telephone	011-23456000
8.	Website	www.pfcindia.com
9.	Financial year for which reporting is being done	FY 2022-23
10.	Name of the Stock Exchange(s) where shares are listed	National Stock Exchange of India Limited & BSE Limited
11.	Paid-up capital	₹ 2,640.08 crore (As on March 31, 2023)
12.	Name and contact details (telephone, e-mail address) of the person who may be contacted in case of any queries on the BRSR report	Shri Manish Kumar Agarwal Company Secretary 011-23456740 mk_agarwal@pfcindia.com
13.	Reporting boundary - Are the disclosures under this report made on a standalone basis (i.e. only for the entity) or on a consolidated basis (i.e. for the entity and all the entities which form a part of its consolidated financial statements, taken together).	The disclosures are made in this report on a standalone basis.

II. Products/services

14. Details of business activities (accounting for 90% of the turnover):

Sr. No.	Description of main activity	Description of business activity	% of turnover of the entity
1.	Financial and Insurance Service	Financial and Credit leasing activities	99.97

15. Products/Services sold by the entity (accounting for 90% of the entity's Turnover):

Sr. No.	Product/Service	NIC Code	% of total turnover contributed
1.	Other Financial Services and Activities - Other Credit Granting	64920	99.97

III. Operations

16. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of plants	Number of offices	Total
National	-	3	3
International	-	0	0

17. Markets served by the entity

a) Number of locations

Location	Number
National (No. of States)	36*
International (No. of Countries)	-

*PFC serves the Indian markets and its business extends throughout the country (28 states and 8 UT's). For resource mobilisation purpose, the Company also taps international capital markets besides domestic markets.


b) What is the contribution of exports as a percentage of the total turnover of the entity?

The Company is a Non-Banking Financial Company (NBFC) categorised as Infrastructure Finance Company (IFC) by the Reserve Bank of India. The contribution of exports to the turnover of the Company was Nil for the financial year 2022-23.

c) A brief on types of customers

PFC's principal products are interest-bearing loans to State utilities, private-sector borrowers etc. The Company's business activities involve financing projects in the entire power sector value chain, be it power generation (both conventional and renewable energy), transmission, distribution, e-mobility, financing equipment manufacturing for power sector and activities having forward / backward linkage with power projects. The key products of the Company include long-term loans, medium-term loans, short-term loans etc. for the entire power sector value chain. Customers of the Company include State Governments, Central/State power utilities, State Electricity Boards, independent power producers and private sector utilities etc.

IV. Employees
18. Details as at the end of financial year:
a) Employees and workers (including differently abled):

Sr. No	Particulars	Total (A)	Male		Female	
			No. (B)	% (B/A)	No. (C)	% (C/A)
Employees						
1.	Permanent (D)	500	393	78.6	107	21.4
2.	Other than Permanent (E)	0	0	0	0	0
3.	Total employees (D + E)	500	393	78.6	107	21.4
Workers						
4.	Permanent (F)	19	17	89.4	2	10.52
5.	Other than Permanent (G)	0	0	0	0	0
6.	Total workers (F + G)	19	17	89.4	2	10.52

b) Differently abled Employees and workers:

Sr. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
Differently abled Employees						
1.	Permanent (D)	17	16	94.11	1	5.8
2.	Other than Permanent (E)	0	0	0	0	0
3.	Total employees (D + E)	17	16	94.11	1	5.8
Differently abled Workers						
4.	Permanent (F)	1	1	100	0	0
5.	Other than Permanent (G)	0	0	0	0	0
6.	Total workers (F + G)	1	1	100	0	0

19. Participation/ Inclusion/ Representation of women:

	Total (A)	No. and Percentage of Females	
		No. (B)	% (B / A)
Board of Directors	8	2	25
Key Management Personnel	5	1	20

20. Turnover rate for permanent employees and workers (Disclose trends for the past 3 years)

	FY 2022-23			FY 2021-22			FY 2020-21		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Employees	1.7	0.9	2.6	0.5	1.05	1.55	0.8	1.02	1.82
Workers	0	0	0	0	0	0	0.05	0	0.05

V Holding, Subsidiary and Associate Companies (including joint ventures)

21. (a) Names of holding/subsidiary/associate companies/joint ventures

Sr. No.	Name of the holding/ subsidiary/ associate companies/ joint ventures (A)	Indicate whether holding/ Subsidiary/ Associate/ Joint Venture	% of shares held by listed entity	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
1	PFC Consulting Limited	Subsidiary	100	No
2	Coastal Tamil Nadu Power Limited	Subsidiary	100	No
3	Orissa Integrated Power Limited	Subsidiary	100	No
4	Sakhigopal Integrated Power Company Limited	Subsidiary	100	No
5	Ghogarpalli Integrated Power Company Limited	Subsidiary	100	No
6	Deoghar Mega Power Limited	Subsidiary	100	No
7	Cheyur Infra Limited	Subsidiary	100	No
8	Odisha Infrapower Limited	Subsidiary	100	No
9	Deoghar Infra Limited	Subsidiary	100	No
10	Bihar Infrapower Limited	Subsidiary	100	No
11	Bihar Mega Power Limited	Subsidiary	100	No
12	Jharkhand Infrapower Limited	Subsidiary	100	No
13	Bijawar-Vidarbha Transmission Limited	Subsidiary	Wholly-owned subsidiaries of PFC Consulting Limited	No
14	Ananthapuram Kurnool Transmission Limited	Subsidiary		No
15	Chhatrapur Transmission Limited	Subsidiary		No
16	Fatehgarh IV Transmission Limited	Subsidiary		No
17	Fatehgarh III Transmission Limited	Subsidiary		No
18	Bhadla III Transmission Limited	Subsidiary		No
19	Fatehgarh III Beawar Transmission Limited	Subsidiary		No
20	Beawar Dausa Transmission Limited	Subsidiary		No
21	Siot Transmission Limited	Subsidiary		No
22	PFC Projects Ltd	Subsidiary	100	No
23	REC Limited	Subsidiary	52.63	No
24	REC Power Development & Consultancy Ltd.	Subsidiary	Wholly-owned subsidiaries of REC Limited	No
25	Bidar Transmission Limited	Subsidiary		No
26	Chandil Transmission Limited	Subsidiary		No
27	Dumka Transmission Limited	Subsidiary		No
28	Koderma Transmission Limited	Subsidiary		No
29	Mandar Transmission Limited	Subsidiary		No
30	Sikar Khetri Transmission Limited	Subsidiary		No
31	Ramgarh II Transmission Limited	Subsidiary		No
32	Beawar Transmission Limited	Subsidiary		No
33	Meerut Shamli Power Transmission Limited	Subsidiary		No
34	Luhri Power Transmission Limited	Subsidiary		No
35	Neres XVI Power Transmission Limited	Subsidiary		No
36	Khavda II-D Transmission Limited	Subsidiary		No
37	KPSI Transmission Limited	Subsidiary		No

VI. CSR Details

22. (i) Whether CSR is applicable as per Section 135 of Companies Act, 2013 (Yes/No): Yes
- (ii) Turnover: ₹ 39,665.63 crore
- (iii) Net worth: ₹ 68,202 crore



VII. Transparency and Disclosures Compliances

23. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct:

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No) (If Yes, then provide web-link for grievance redress policy)	FY 2022-23			FY 2021-22		
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks	Number of complaints filed during the year	Number of complaints pending resolution at close of the year	Remarks
Customers	www.pfcindia.com		0			0	
Public Grievances	--		0			1	
Shareholders (Equity)			8*			0	
Employees & Worker			0			0	
Bond holders			0			0	

* Complaints received at the end of quarter, were subsequently resolved by April 4, 2023.

24. Overview of the entity's material responsible business conduct issues

Sr. No..	Material issue identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk/opportunity	In case of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
1.	Gradual shift from conventional power sources to renewable power sources	Opportunity	Thrust for cleaner power shall provide - additional financing avenues for the corporation.		PFC shall experience positive financial implication due to additional revenues from financing towards cleaner power.
2	Shift to paperless environment to further the sustainability	Opportunity	Shift to digital means of communication & record management shall enhance speed, accuracy, efficiency, cost saving, accountability & preservation of records.	-	PFC shall experience positive financial implication due to cost saving & increase in swiftness of operations.

SECTION B: MANAGEMENT AND PROCESS DISCLOSURES

This section is aimed at helping businesses demonstrate the structures, policies and processes put in place towards adopting the NGRBC Principles and Core Elements.

Disclosure Questions		P1	P2	P3	P4	P5	P6	P7	P8	P9
Policy and management processes										
1.	a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Y	Y	Y	Y	Y	Y	Y	Y	Y
	b. Has the policy been approved by the Board? (Yes/No)	Y	Y	Y	Y	Y	Y	Y	Y	Y
	c. Web Link of the Policies, if available	Y	Y	Y	Y	Y	Y	Y	Y	Y
2.	Whether the entity has translated the policy into procedures. (Yes/No)	Y	Y	Y	Y	Y	Y	Y	Y	Y
3.	Do the enlisted policies extend to your value chain partners? (Yes/No)	Y	Y	Y	Y	Y	Y	Y	Y	Y
4.	Name of the national and international codes/certifications/ labels/ standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustea) standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.	Y	Y	Y	Y	Y	Y	Y	Y	Y
5.	Specific commitments, goals and targets set by the entity with defined timelines, if any.	PFC enters into Memorandum of Understanding (MoU) with its administrative ministry i.e Ministry of Power, Government of India under the framework prescribed in MoU Guidelines issued by the Department of Public Enterprises (DPE). The MoU demarcates key performance parameters for the Company. For the FY 2021-22, your Company was accorded 'Excellent' rating.								
6.	Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.									
Governance, leadership and oversight										
7.	Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements (listed entity has flexibility regarding the placement of this disclosure). Please refer to Chairman's Speech									
8.	Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy(ies).	Board of Directors								

Disclosure Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
9. Does the entity have a specified Committee of the Board / Director responsible for decision-making on sustainability related issues? (Yes/No). If yes, provide details.	Details of meetings of the Board and Statutory Board Level Committees held during the financial year 2022-23 is provided in the Corporate Governance Report. PFC has a Board Committee on CSR & Sustainable Development to give direction to the CSR and SD activities of the Company and to make recommendations to the Board of Directors for taking up various CSR & SD projects.								

10. Details of Review of NGRBCs by the Company:

Subject for Review	Indicate whether review was undertaken by Director/ Committee of the Board/ Any other Committee									Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify)								
	P1	P2	P3	P4	P5	P6	P7	P8	P9	P1	P2	P3	P4	P5	P6	P7	P8	P9
Performance against above policies and follow up action	Y	Y	Y	Y	Y	Y	Y	Y	Y									On quarterly and annual basis
Compliance with statutory requirements of relevance to the principles, and, rectification of any non-compliances	Y	Y	Y	Y	Y	Y	Y	Y	Y									On quarterly and annual basis

11. Has the entity carried out independent assessment/evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.

	P1	P2	P3	P4	P5	P6	P7	P8	P9
	Y	Y	Y	Y	Y	Y	Y	Y	Y

Note: The relevant explanation/ information/ links are mentioned in the Annexure to this Report.

12. If answer to question (1) above is “No” i.e., not all Principles are covered by a policy, reasons to be stated.

Not applicable.

SECTION C: PRINCIPLE WISE PERFORMANCE DISCLOSURE

PRINCIPLE 1: Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable.

ESSENTIAL INDICATORS

1. Percentage coverage by training and awareness programmes on any of the Principles during the financial year:

Segment	Total number of training and awareness programmes held	Topics/principles covered under the training and its impact	% age of persons in respective category covered by the awareness programmes
Board of Directors	2	Orientation programme for Independent Directors (IDs)	38%
Key Managerial Personnel (apart from KMP's already included on BoD above)	1	National Convention of Company Secretaries	100%
Employees other than BoD and KMPs	3	1. Filling of property Return 2. Conduct, Discipline & Appeal (CDA) Rules of PFC 3. Ethics in Governance and Preventive Vigilance	15%
Workers (Workmen)	1	Conduct, Discipline & Appeal (CDA) Rules of PFC	16%



2. **Details of fines/ penalties/ punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors/ KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year, in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and as disclosed on the website):**

Monetary					
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Amount (In INR)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Penalty/ Fine	Principle 1	National Stock Exchange of India Limited BSE Limited		For FY 2022-23, the Company has complied with all requirements of SEBI LODR Regulations except compliance related to appointment of requisite number of Independent Directors w.e.f. 11.07.2022. Due to such non-compliances, NSE and BSE have imposed a total fine of ₹ 10,85,600/- including GST of ₹1,65,600/- for the quarters ended September and December 2022 and fine of ₹ 5,31,000/- including GST of ₹ 81,000/- by NSE for quarter ended March 2023.	Yes*
Settlement	-	-	-	-	-
Compounding fee	-	-	-	-	-
Non-Monetary					
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Brief of the Case	Has an appeal been preferred? (Yes/No)	
Imprisonment	-	-	-	-	-
Punishment	-	-	-	-	-

* On receipt of letter/e-mail from stock exchanges imposing fine on PFC, your Company requests the exchange to withdraw their letters (imposing fine) as PFC is a CPSE under the administrative control of MOP, Government of India and the Directors on the Board of PFC are appointed by President of India, through Ministry of Power, Government of India.

3. **Of the instances disclosed in Question 2 above, details of the Appeal/Revision preferred in cases where monetary or non-monetary action has been appealed.**

Case Details	Name of the regulatory/ enforcement agencies/ judicial institutions
In connection with fine levied by NSE and BSE for non-appointment of Independent Directors as stated in the previous question, since the power to appoint Directors on the Board of the Company vests with the President of India, acting through the administrative ministry i.e., Ministry of Power (MoP), Government of India, therefore the Company has been requesting the appointing authority, i.e. MoP, for appointment of requisite number of Independent Directors. In view of the same, the Company has been requesting the stock exchanges to waive off the said fines. It is pertinent to mention, that BSE has already waived off the fine imposed on the Company for earlier quarters i.e. July 1, 2018 to December 31, 2020.	National Stock Exchange of India Limited BSE Limited

4. **Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.**

Power Finance Corporation Ltd. (PFC) is a leading power sector public financial institution and a non-banking financial company, providing fund and non-fund based support for the development of the Indian power sector. It plays a major role in channelising investment into the power sector and acts as a vehicle for development of this sector. Its clients include state power utilities, central power sector utilities, power departments, private power sector utilities (including independent power producers), joint sector power utilities etc. PFC has developed the Fair Practices Code (FPC) for its lending operations based on the RBI guidelines, which intends to provide assurance to all the borrowers of the Company's commitment to fair dealing and transparency in its businesses transactions.

PFC also considers Corporate Governance as an integral part of good management and is committed to act professionally, fairly and with integrity in all its dealings. In this direction, Company has an established Code of Business Conduct & Ethics for Board Members & Senior Management. The Code of Business Conduct and Ethics for the Board Members and Senior Management is a comprehensive code applicable to all Directors and Members of Senior Management of the Company. It is in alignment with Company's vision and values to achieve the Mission & Objectives and aims at enhancing ethical and transparent process in managing the affairs of the Company.

An Anti-Fraud Policy is in place in PFC to enforce controls and to aid in prevention & detection of fraud in the Company. It covers employees (including contractual employees) as well as shareholders, consultants, vendors, suppliers, service providers, contractors, lenders, borrowers, outside agencies and any other parties having a business relationship with PFC.

Further, the Company's Conduct, Discipline and Appeal (CDA) Rules define the code of conduct for all employees and recognises acts of bribery, corruption, etc. as misconduct.

The web links of the above said policies are annexed herewith.

5. Number of Directors / KMPs / employees / workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery / corruption:

	FY 2022-23	FY 2021-22
Directors	-	-
KMPs	-	-
Employees	-	-
Workers	-	-

6. Details of complaints with regard to conflict of interest:

	FY 2022-23		FY 2021-22	
	Number	Remarks	Number	Remarks
Number of complaints received in relation to issues of Conflict of Interest of the Directors	-	-	-	-
Number of complaints received in relation to issues of Conflict of Interest of the KMPs	-	-	-	-

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest.

Not applicable

LEADERSHIP INDICATORS

1. Awareness programmes conducted for value chain partners on any of the principles during the financial year:

Total number of awareness programmes held	Topics/principles covered under the training	%age of value chain partners covered (by value of business done with such partners) under the awareness programmes
Nil		

2. Does the entity have processes in place to avoid/ manage conflict of interests involving members of the Board? (Yes/No) If yes, provide details of the same.

The Company has a Code of Business Conduct and Ethics for Board Members and Senior Management, which covers *inter alia* the process of dealing with conflict of interests. The Policy is available at <https://www.pfcindia.com/Home/VS/63>

PRINCIPLE 2: Businesses should provide goods and services in a manner that is sustainable and safe
ESSENTIAL INDICATORS

1. Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively.

Since PFC is not a Manufacturing Company and offers financial products only, the question is not applicable to the Company.



2. (a) Does the entity have procedures in place for sustainable sourcing? (Yes/No)

PFC, being a Financial Institution, is relatively less resource intensive in terms of material inputs. We are also following the Government of India's directives, issued from time to time, in respect of reservation for Micro, Small & Medium Enterprises in procurements. The Company promotes GeM portal (Government e-Marketplace) in its procurements and also promotes sourcing from MSME vendors. All procurement / sourcing of material and services is done as per the procedure defined in the Procurement Guidelines of the Company.

(b) If yes, what percentage of inputs were sourced sustainably?

In terms of material requirements, PFC has made it mandatory to procure common use goods & services available on GeM (Government e-Marketplace) portal, with purchase preference to MII / MSMEs as per Government directives.

During the financial year 2022-23, 86.04% of total procurement of goods and services has been made through GeM portal and procurement from MSMEs was 66.09%.

3. Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.

The Company, being a Financial Institution, has limited applicability of mechanism for reusing, recycling and disposing. However, the Company has installed a Composter Machine in PFC premises of 50Kg capacity. It can recycle wet materials into 10% within 24 hrs. and can convert 90% material into organic compost. The produced Organic Compost has been used by PFC for plantation in the premises and nearby plants.

Given the nature of business and operations, the Company does not have material plastic waste, e-waste and other waste. Further, the Company does not have any hazardous waste.

Disposal of old, unserviceable & obsolete IT equipment's, identified as e-waste, is done through registered Recyclers/ Re-processors under Central Pollution Control Board, Government of India & State Pollution Control Committee/ Board Electronic waste, by following Procurement Guidelines of the Company.

The Company has also reduced plastic use to very minimal and encourages use of substitutes such as jute bags, cloth bags, paper folders etc.

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes/No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.

Not Applicable.

LEADERSHIP INDICATORS

1. Has the entity conducted Life Cycle Perspective/ Assessments (LCA) for any of its products (for manufacturing industry) or for its services (for service industry)? If yes, provide details in the following format?

PFC has financial products like term loan, buyer's line of credit, lease financing etc. including financing of renewable energy projects which are sustainable and environmentally benign. The Company endeavours to incorporate social and environmental concerns in the appraisal of the projects it finances and its activities in general.

2. If there are any significant social or environmental concerns and/or risks arising from production or disposal of your products / services, as identified in the Life Cycle Perspective / Assessments (LCA) or through any other means, briefly describe the same along-with action taken to mitigate the same.

Not Applicable

3. Percentage of recycled or reused input material to total material (by value) used in production (for manufacturing industry) or providing services (for service industry).

Considering the nature of business and operations, the percentage of recycled or reused input material used by the Company is negligible.

4. Of the products and packaging reclaimed at end of life of products, amount (in metric tonnes) reused, recycled, and safely disposed, as per the following format:

	FY 2022-23			FY 2021-22		
	Re-Used	Recycled	Safely Disposed	Re-Used	Recycled	Safely Disposed
Plastics (including packaging)	-	-	-	-	-	-
E-waste*	-	-	215	-	-	Nil
Hazardous waste	-	-	-	-	-	-
Other waste	-	-	-	-	-	-

*Number of IT units safely disposed.

5. Reclaimed products and their packaging materials (as percentage of products sold) for each product category.

Not Applicable

PRINCIPLE 3: Businesses should respect and promote the well-being of all employees, including those in their value chains

ESSENTIAL INDICATORS

1. (a) Details of measures for the well-being of employees

% of employees covered by											
Category	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E/A)	Number (F)	% (F/A)
Permanent employees											
Male	393	393	100	393	100	NA	NA	393	100	0	0
Female	107	107	100	107	100	107	100	NA	NA	0	0
Total	500	500	100	500	100	107	21.4	393	78.6	0	0
Other than Permanent employees											
Male	-	-	-	-	-	-	-	-	-	-	-
Female	-	-	-	-	-	-	-	-	-	-	-
Total	-	-	-	-	-	-	-	-	-	-	-

(b) Details of measures for the well-being of workers:

% of employees covered by											
Category	Total (A)	Health insurance		Accident insurance		Maternity benefits		Paternity Benefits		Day Care facilities	
		Number (B)	% (B/A)	Number (C)	% (C/A)	Number (D)	% (D/A)	Number (E)	% (E/A)	Number (F)	% (F/A)
Permanent employees											
Male	17	17	100	17	100	NA	NA	17	100	0	0
Female	2	2	100	2	100	2	100	NA	NA	0	0
Total	19	19	100	19	100	2	10.5	17	89.4	0	0
Other than Permanent employees											
Male	-	-	-	-	-	-	-	-	-	-	-
Female	-	-	-	-	-	-	-	-	-	-	-
Total	-	-	-	-	-	-	-	-	-	-	-



2. Details of retirement benefits, for Current FY and Previous Financial Year.

Benefits	FY 2022-23			FY 2021-22		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	100	100	Y	100	100	Y
Gratuity	100	100	Y	100	100	Y
ESI	0	0	N	0	0	N
Others PRMS Leave Encashment NPS	100	100	Y	100	100	Y

3. Accessibility of workplaces

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

Yes, the premises of our office are accessible to differently abled employees and workers. Accessible infrastructure like ramps, braille-aided elevators and wheel chair friendly washrooms are available at the Company's office.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web- link to the policy.

As per various guidelines in place, PFC provides equal opportunities to the persons with disabilities.

Further, the formal policy regarding equal opportunity is currently under finalization, once approved the same shall be uploaded on entity's website..

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

Gender	Permanent employees		Permanent workers	
	Return to work rate	Retention rate	Return to work rate	Retention rate
Male	100	100	100	100
Female	100	100	100	100
Total	100	100	100	100

6. Is there a mechanism available to receive and redress grievances for the following categories of employee and worker? If yes, give details of the mechanism in brief.

	Yes/No (If Yes, then give details of the mechanism in brief)
Permanent Workers	Yes. The Company has a dedicated policy for handling grievances. The policy is available to employees on the Company intranet. It provides a 4-tier system which allows all permanent employees to escalate their grievances at multiple levels.
Other than Permanent Workers	Not applicable
Permanent Employees	Yes. The Company has a dedicated policy for handling grievances. The policy is available to employees on the Company intranet. It provides a 4-tier system which allows all permanent employees to escalate their grievances at multiple levels.
Other than Permanent Employees	Not applicable

7. Membership of employees and worker in association(s) or Unions recognised by the listed entity:

Category	FY 2022-23			FY 2021-22		
	Total employees / workers in respective category (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B / A)	Total employees / workers in respective category (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	% (D/C)
Total Permanent Employees	500	500	100	479	479	100
Male	393	393	100	382	382	100
Female	107	107	100	97	97	100
Total Permanent Workers	19	19	100	22	22	100
Male	17	17	100	19	19	100
Female	2	2	100	3	3	100

8. Details of training given to employees and workers:

Category	FY 2022-23					FY 2021-22				
	Total (A)	On Health and safety measures*		On Skill upgradation		Total (D)	On Health and safety measures		On Skill upgradation	
		No. (B)	% (B / A)	No. (C)	% (C / A)		No. (E)	% (E / D)	No. (F)	% (F / D)
Employees										
Male	393	66	17%	259	66%	382	54	14%	215	56%
Female	107	20	19%	92	86%	97	18	18%	43	44%
Total	500	86	17%	351	70%	479	72	15%	258	54%
Workers										
Male	17	7	41%	7	41%	19	0	0	2	11%
Female	2	1	50%	1	50%	3	0	0	0	0%
Total	19	8	16%	8	42%	22	0	0	2	9%

*Health & Safety trainings included the following:

Training conducted in FY 2022-23:

- Awareness Workshop on Yoga
- Implementation of ISO 45001: 2018 - OHS Standards in PFC

Training conducted in FY 2021-22:

- Win Covid Through Immunity Booster Capsule Of Yoga And Naturopathy
- Health & Stress Management
- Yoga Talk On International Day Of Yoga.

9. Details of performance and career development reviews of employees and worker:

Category	FY 2022- 23			FY 2021-22		
	Total (A)	No. (B)	% (B / A)	Total (C)	No. (D)	% (D / C)
Employees						
Male	393	101	25.69	382	51	13.35
Female	107	25	23.36	97	19	19.58
Total	500	126	25.20	479	70	14.61
Workers						
Male	17	3	17.64	19	3	15.78
Female	2	1	50	3	2	66.67
Total	19	4	21.05	22	5	22.72

10. Health and safety management system:

a) Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system?

The occupational health and safety issues are minimal considering the nature of business and operations of the Company. The Company takes care of health and well-being of its employees by reimbursing in-patient and out-patient medical costs, provision for leaves on medical grounds etc. which are applicable for all employees.



b) What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

Not applicable

c) Whether you have processes for workers to report the work related hazards and to remove themselves from such risks. (Y/N)

Not applicable

d) Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/No)

Yes, in order to provide improved health care facilities to the employees part-time services of doctors are engaged to provide medical facilities. The Company takes care of health and well-being of its employees by reimbursing in-patient and out-patient medical costs, provision for leaves on medical grounds etc. which are applicable for all employees.

11. Details of safety related incidents, in the following format:

Safety Incident/ Number	Category	FY 2022-23	FY 2021-22
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees Workers		
Total recordable work-related injuries	Employees Workers		
No. of fatalities	Employees Workers		NIL
High consequence work-related injury or ill-health (excluding fatalities)	Employees Workers		

12. Describe the measures taken by the entity to ensure a safe and healthy work place.

PFC is headquartered in New Delhi and has state-of-the-art infrastructure, cutting-edge technology and a customer-centric approach. PFC also maintains regional offices to facilitate its business operations.

13. Number of complaints on the following made by employees and workers:

	FY 2022-23			FY 2021-22		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions						
Health & Safety			Nil			

14. Assessments for the year:

Nil

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

Not applicable.

LEADERSHIP INDICATORS

1. Does the entity extend any life insurance or any compensatory package in the event of death of (A) Employees (Y/N) (B) Workers (Y/N)

Employees	Yes
Workers	Yes

2. Provide the measures undertaken by the entity to ensure that statutory dues have been deducted and deposited by the value chain partners.

Being NBFC, the Company includes in the terms & conditions of loans granted to its borrowers, necessary conditions stipulating timely deposit of their statutory dues, obtaining of statutory clearances and meeting such other similar obligations as per statutory requirements etc. The borrowers are also required to furnish compliance of the same to the Company at various stages.

- 3. Provide the number of employees/ workers having suffered high consequence work-related injury/ ill-health/ fatalities (as reported in Q11 of Essential Indicators above), who have been are rehabilitated and placed in suitable employment or whose family members have been placed in suitable employment:**

Nil for FY 2022-23 and FY 2021-22.

- 4. Does the entity provide transition assistance programmes to facilitate continued employability and the management of career endings resulting from retirement or termination of employment? (Yes/No)**

The Company is a CPSE, which follows employment norms of DPE in cases of retirement or termination of employment. The Company also provides post-retirement medical benefits and other welfare measures to its retired employees.

- 5. Details on assessment of value chain partners:**

Nil.

- 6. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from assessments of health and safety practices and working conditions of value chain partners.**

Not applicable.

PRINCIPLE 4: Businesses should respect the interests of and be responsive to all its stakeholders

ESSENTIAL INDICATORS

- 1. Describe the processes for identifying key stakeholder groups of the entity.**

Yes. The Company has mapped its internal and external stakeholders. Internal stakeholders include employees and staff of the Company; and external stakeholders include equity shareholders, bondholders, creditors, bankers, borrowers and customers from both public and private sectors, Governmental bodies and regulatory authorities including State Government(s), Reserve Bank of India, Ministry of Corporate Affairs, Securities and Exchange Board of India, Stock Exchanges etc.

- 2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.**

The Company communicates with all its stakeholders like equity shareholders, bondholders, creditors, bankers, borrowers, employees and customers as and when required through e-mail, SMS, Newspaper, General Meeting, Website, Letters etc.

LEADERSHIP INDICATORS

- 1. Provide the processes for consultation between stakeholders and the Board on economic, environmental, and social topics or if consultation is delegated, how is feedback from such consultations provided to the Board.**

The Company has various Board-approved policies addressing the economic, environmental, and social topics relating to its business which have been developed over a period of time based on the inputs from relevant stakeholders.

- 2. Whether stakeholder consultation is used to support the identification and management of environmental, and social topics (Yes / No). If so, provide details of instances as to how the inputs received from stakeholders on these topics were incorporated into policies and activities of the entity.**

PFC is a nodal agency for Revamped Distribution Sector Scheme (RDSS), a Reforms-based and Results-linked, Distribution Sector Scheme to improve the operational efficiencies and financial sustainability of DISCOMs, by providing financial assistance to DISCOMs for upgradation of the Distribution Infrastructure and Prepaid Smart Metering & System Metering based on meeting pre-qualifying criteria and achieving basic minimum benchmarks in reforms. Your Company is contributing towards better power supply to the people of India and improving operational efficiency and financial health of Distribution Utilities.

PFC has implemented CSR and Sustainability Policy with an aim to become a socially responsible corporate entity committed to improving the quality of life of the society at large by undertaking projects for Sustainable Development, mainly focusing on fulfillment of Power and Energy needs of the society. PFC has been implemented wide range of activities in the field of Environment Sustainability, Rehabilitation and Reconstruction Activities, Healthcare, Education, Sports, Sanitation & Drinking water and Skill development & Livelihood etc. Further, as per DPE's mandate, PFC has also been contributed to thematic areas i.e. 'Health & Nutrition, with preference given to Aspirational Districts.



3. Provide details of instances of engagement with, and actions taken to, address the concerns of vulnerable/marginalised stakeholder groups.

All the Govt. of India directives are followed for engagement at various levels of career progression for all reserved category employees (SC/ ST/ OBC/ PwBD/ EWS) & Minorities. Various infrastructure arrangements were made for benefits of PwBD persons. Meritorious awards are given to children of these categories along with other children by giving special relaxation in percentage of marks. Separate Liaison Officers are in place to look after the welfare of the employees in the ambit of this category. It is ensured that a person of reserved category of appropriate level is nominated as a member of various selection and promotion committees to look into the interest of employees of reserved categories.

PRINCIPLE 5: Businesses should respect and promote human rights

ESSENTIAL INDICATORS

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:

Nil for FY 2022-23 and FY 2021-22.

2. Details of minimum wages paid to employees and workers, in the following format:

Category	FY (2022-23)					PY (2021-22)				
	Total (A)	Equal to Minimum Wage		More than Minimum Wage		Total (D)	Equal to Minimum Wage		More than Minimum Wage	
		No. (B)	% (B /A)	No. (C)	% (C /A)		No. (E)	% (E /D)	No. (F)	% (F /D)
Employees										
Permanent	500	0	0	500	100	479	0	0	479	100
Male	393	0	0	393	100	382	0	0	382	100
Female	107	0	0	107	100	97	0	0	97	100
Other	0	0	0	0	0	0	0	0	0	0
Other than Permanent	57	0	0	57	100	67	0	0	67	100
Male	56	0	0	56	100	66	0	0	66	100
Female	1	0	0	1	100	1	0	0	1	100
Other	0	0	0	0	0	0	0	0	0	0
Workers										
Permanent	19	0	0	19	100	22	0	0	22	100
Male	17	0	0	17	100	19	0	0	19	100
Female	2	0	0	2	100	3	0	0	3	100
Other	0	0	0	0	0	0	0	0	0	0
Other than Permanent	0	0	0	0	0	0	0	0	0	0
Male	0	0	0	0	0	0	0	0	0	0
Female	0	0	0	0	0	0	0	0	0	0
Other	0	0	0	0	0	0	0	0	0	0

3. Details of remuneration/salary/wages, in the following format:

	Male		Female	
	Number	Median remuneration/ salary/ wages of respective category	Number	Median remuneration/ salary/ wages of respective category
Board of Directors (BoD)	3	22155408	1	8599139
Key Managerial Personnel (apart from KMP's already included on BoD above)	1	7445866	0	0
Employees other than BoD and KMP	399	1289265128	106	302891899
Workers	18	42984859	3	5374905

Notes:

- The above schedule includes only permanent employees who have worked for the entire period of 12 months during the financial year 2022-23.
- Remuneration/salary/wages include allowances exempt u/s 10 of the Income Tax Act, 1961 and Employer contribution towards Pension scheme. Further, it excludes employer's contribution into PFC Gratuity Fund, Leave Encashment Provision based on actuarial valuation, various reimbursements given to employees for e.g. uniform, entertainment, conveyance, electricity, water and attendant charges and exempt medical expenses.
- The above remuneration is paid in line with the guidelines issued by the DPE in this regard.
- The Company has not given any stock options during the financial year 2022-23.

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

Yes.

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

Company has a dedicated policy for handling grievances. The said policy is available to the employees on the Company intranet.

6. Number of Complaints on the following made by employees and workers:

	FY 2022-23			FY 2021-22		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Sexual Harassment	-	-	-	-	-	-
Discrimination at workplace	-	-	-	-	-	-
Child Labour	-	-	-	-	-	-
Forced Labour/Involuntary Labour	-	-	-	-	-	-
Wages	-	-	-	-	-	-
Other human rights related issues	-	-	-	-	-	-

7. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

The Company has in place the Whistle-Blower Policy which lays down the necessary mechanism to provide protection to the complainant, against any discrimination, harassment, victimisation or any other unfair employment practice, if any. The Whistle-Blower Policy is available at <https://www.pfcindia.com/Home/VS/126>.

8. Do human rights requirements form part of your business agreements and contracts? (Yes/No)

The Company, being a financial institution the agreements and contracts it enters into are primarily in nature of loan documents, which lays down the terms of sanctioning and disbursement to the borrowers.

9. Assessments for the year:

Nil

10. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 9 above.

Not applicable.

LEADERSHIP INDICATORS

1. Details of a business process being modified/ introduced as a result of addressing human rights grievances/ complaints.

Not applicable.

2. Details of the scope and coverage of any Human rights due-diligence conducted.

Not applicable.

3. Is the premise/office of the entity accessible to differently abled visitors, as per the requirements of the Rights of Persons with Disabilities Act, 2016?

Yes, the premises of our office are accessible to differently abled employees and workers. Accessible infrastructure like ramps, braille-aided elevators and wheel chair friendly washrooms are available at the Company's office.

4. Details on assessment of value chain partners:

Nil

5. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 4 above.

Not applicable.

**PRINCIPLE 6: Businesses should respect and make efforts to protect and restore the environment****ESSENTIAL INDICATORS****1. Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format:**

Since PFC is not a Manufacturing Company and offers financial assistance to Power Sector projects only, therefore its energy intensity is limited.

2. Does the entity have any sites/ facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

Not Applicable.

3. Provide details of the following disclosures related to water, in the following format:

Since PFC is not a Manufacturing Company and offers financial assistance to Power Sector projects only, therefore its water intensity is negligible.

4. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

Not Applicable.

5. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

The above question is not applicable to PFC as it is not a manufacturing company.

6. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:

Not Applicable.

7. Does the entity have any project related to reducing Green House Gas emission? If Yes, then provide details.

Not Applicable.

8. Provide details related to waste management by the entity, in the following format:

PFC, being a Financial Institution, has limited applicability of mechanism to recycle products and waste. However, the Company has installed a Composter Machine in PFC premises of 50Kg capacity. It can recycle wet materials into 10% within 24 hrs. and can convert 90% material into organic compost. The produced Organic Compost has been used by PFC for plantation in the premises and nearby plants.

9. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your Company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

Disposal of old, un-serviceable & obsolete IT equipment, identified as e-waste, is done through registered recyclers/ re-processors under Central Pollution Control Board and State Pollution Control Committee/Board, by following the procedure defined under REC's Procurement Guidelines.

10. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

Not applicable.

11. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Not applicable.

- 12. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India; such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format:**

Since PFC is not a Manufacturing Company and offers financial products only, the question is not applicable to the Company.

LEADERSHIP INDICATORS

- 1. Provide break-up of the total energy consumed (in Joules or multiples) from renewable and non-renewable sources, in the following format:**

Not Applicable.

- 2. Provide the following details related to water discharged:**

Not Applicable.

- 3. Water withdrawal, consumption and discharge in areas of water stress (in kilolitres):**

For each facility/ plant located in areas of water stress, provide the following information:

(i) Name of the area

(ii) Nature of operations

(iii) Water withdrawal, consumption and discharge in the following format:

Not Applicable.

- 4. Please provide details of total Scope 3 emissions & its intensity, in the following format:**

Not Applicable.

- 5. With respect to the ecologically sensitive areas reported at Question 10 of Essential Indicators above, provide details of significant direct & indirect impact of the entity on biodiversity in such areas along-with prevention and remediation activities.**

Not Applicable.

- 6. If the entity has undertaken any specific initiatives or used innovative technology or solutions to improve resource efficiency, or reduce impact due to emissions/ effluent discharge/ waste generated, please provide details of the same as well as outcome of such initiatives, as per the following format:**

PFC continuously poised to utilise Information Technology to enable its employees to cater to business functions efficiently. Implementation of collaboration tools for online meetings, e-Office solution for efficient file processing, paperless digital board meetings and paperless employee claims are few of the areas to mention as part of PFC's initiative to improve organisational efficiency with the use of technology and at the same time to contribute for an environment friendly society.

- 7. Does the entity have a business continuity and disaster management plan? Give details in 100 words/web-link.**

Yes, PFC has established a disaster recovery site on a private cloud which is considered as highly secured, to replicate the existing data centre setup in a different seismic zone. With this, PFC can continue its business operation during any disaster or cyber security incidents.

- 8. Disclose any significant adverse impact to the environment, arising from the value chain of the entity. What mitigation or adaptation measures have been taken by the entity in this regard.**

PFC, being a financial institution in Power sector, is also financing installation of pollution control equipment in thermal power plants, in line with Government directives. This includes installation of Flue Gas Desulphurisation (FGDs), Selective Catalytic Reduction (SCR) and Electrostatic Precipitators (ESP), which contribute towards curbing of harmful emissions and particulate matter. Further, in order to promote the development of renewable energy sector multiple initiatives like lower interest rate, additional rebates, higher extent of funding etc. are undertaken for financing of renewable energy projects.



9. Percentage of value chain partners (by value of business done with such partners) that were assessed for environmental impacts.

PFC being a NBFC, does not own or execute/implement project. However, PFC ensures through its borrowers that they obtain and keep in effect the applicable statutory and non-statutory clearances relating to environment during the currency of the loan.

PRINCIPLE 7: Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent.

ESSENTIAL INDICATORS

1. (a) Number of affiliations with trade and industry chambers/ associations.

9 (nine)

(b) List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.

Sr. No.	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/associations (State/National)
1.	Central Board of Irrigation & Power	National
2.	SCOPE	National
3.	World Energy Council	International
4.	Confederation of Indian Industry	National
5.	Institute of Internal Auditors	National
6.	Power HR Forum	National
7.	Institute of Public Enterprise	National
8.	ICSI	National
9.	CIGRE	International
10.	India Habitat Centre	National

2. Provide details of corrective action taken or underway on any issues related to anti-competitive conduct by the entity, based on adverse orders from regulatory authorities.

Not Applicable

LEADERSHIP INDICATORS

1. Details of public policy positions advocated by the entity:

Power Finance Corporation (PFC) participated in Mission LiFE (Lifestyle for Environment), an India-led global mass movement that aims to mobilise individuals and communities to take action for the protection and preservation of the environment. PFC actively engaged in various activities and campaigns organised under Mission LiFE, including awareness drives on energy and water conservation, financial literacy, cleanliness, tree plantation drives, waste management programmes, and promoting renewable energy adoption.

Further, as part of 'Azadi Ka Amrit Mahotsav' – to celebrate 75 years of India's Independence, Ministry of Power and PFC in association with Government of NCT of Delhi organised 'Bijli Mahotsav' at various locations in Delhi. The Bijli Mahotsav was used as a platform to celebrate the collaboration between the State and the Central Governments.

PFC's senior management has participated as speaker of panel discussion on various forums such as the Economic Times Renewable Energy Conclave held on March 3, 2023 in Jaipur "Transition from conventional to renewables: role of developers, PSU & Green financial institution". Besides, management also participated in a Public Procurement Conference organised by IEEMA & provided valuable insights into best practices in public procurement adopted by PFC. Recently, PFC participated in the Vibrant North East Exhibition 2023 which saw the coming together of a large number of stakeholders from industry, government and development sectors showcasing various CSR programmes and GoI schemes. PFC received the 'Best Innovative Stall Award' for its creative & innovative showcasing of the diverse portfolio of the organisation.

A workshop on Smart Metering & Loss Reduction Projects and SCADA Projects was also organised under the chairmanship of CMD, PFC with States, Project consultants on April 25 & 26, 2023 in Delhi to review the progress and sharing of views.

PFC found, cultivated and leveraged sponsor relationships to access new opportunities, projects, and roles on various occasions. PFC has recently sanctioned financial assistance in the form of sponsorships to cultural and sporting events that connect with the Indian youth such as the All India Tennis Association's India Vs Denmark Davis Cup Tie, Pro Tennis League Tournament, Sports Meet for all employees, World Table Tennis Star Contender in Goa, Climate Force International Antarctic Expedition. PFC's support went a long way in establishing the determination, dedication and concern of the government in general and PFC in particular as far as commitment to climate change, the Paris agreement and COP26 is concerned.

PRINCIPLE 8: Businesses should promote inclusive growth and equitable development

ESSENTIAL INDICATORS

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year.

Not Applicable.

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:

Not Applicable.

3. Describe the mechanisms to receive and redress grievances of the community.

PFC has a Grievance Redressal System for dealing with grievances of the public at large. The Company has designated a senior officer as Director (Public Grievances), to ensure prompt redressal of grievances within the stipulated time frame.

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

	FY 2022-23	FY 2021-22
Directly sourced from MSMEs / small producers	66.09%	38.57%
Sourced directly from within the district and neighbouring districts	-	-

LEADERSHIP INDICATORS

1. Provide details of actions taken to mitigate any negative social impacts identified in the Social Impact Assessments (Reference: Question 1 of Essential Indicators above):

Not applicable.

2. Provide the following information on CSR projects undertaken by your entity in designated aspirational districts as identified by Government bodies:

Sr. No.	State	Aspirational district	Name of the Project	Total Amount Sanctioned (₹ in crore)
1	Odisha	Kandhamal	Renovation and Improvement of Educational and allied infrastructures of 20 numbers of schools in Kandhamal District, Odisha	6.00
2	Punjab*	Ferozpur	Construction of classrooms and allied facilities in Akal Academy schools in 4 districts of Punjab	5.30
3		Moga		
Total				11.30

* Total 4 nos. district were sanctioned.

3. (a) Do you have a preferential procurement policy where you give preference to purchase from suppliers comprising marginalised /vulnerable groups? (Yes/No)

Yes, Government of India has notified Public Procurement Policy for Micro and Small Enterprises (MSEs) Order, 2012 to support marketing of products produced and services rendered by them. In compliance to the policy, annual procurement plan including items to be procured from Micro & Small Enterprises (MSEs) are uploaded on PFC website for the benefit of MSEs.

- (b) From which marginalised/vulnerable groups do you procure?

As per statutory requirement, PFC has to procure atleast 25% of its total procurement from Micro, Small and Medium Enterprises (MSEs). Further, out of the said 25%, atleast 4% to be only from MSEs owned by SC/ST Entrepreneurs and atleast 3% to be only from MSEs owned by Women Entrepreneurs.

- (c) What percentage of total procurement (by value) does it constitute?

During the financial year, your Company has procured products and services from MSEs, which constituted 66.09 % of the total annual procurement value, against the mandate of 25 % set by Ministry of Micro, Small and Medium Enterprises, Govt. of India. During the year, 309 MSEs were benefited out of which 19 MSEs belonged to SC/ST category and 48 MSEs were owned by women.

4. Details of the benefits derived and shared from the intellectual properties owned or acquired by your entity (in the current financial year), based on traditional knowledge:

Not applicable.



5. Details of corrective actions taken or underway, based on any adverse order in intellectual property related disputes wherein usage of traditional knowledge is involved.

Not Applicable.

6. Details of beneficiaries of CSR Projects:

Sr. No.	Project Title	No. of persons benefitted from CSR Projects*	% of beneficiaries from vulnerable and marginalised groups*
1	Construction of classrooms and allied facilities in Akal Academy schools in 4 Districts (Ferozpur, Moga, Amritsar & Taran Tara) of Punjab	1200	100
2	Upgradation of Public Health Infrastructure in Machilipatnam, Andhra Pradesh	200000	75
3	Providing Medical Infrastructure in District Hospital in Pratapgarh, Rajasthan	50000	75
4	Contribution to PM CARES Fund	NA	NA
5	Providing necessary Medical Equipment in Sreevalsam Institute of Medical Sciences (SIMS) Hospital in Malappuram District, Kerala	20000	75
6	Construction of G+1 Hostel building in 'Vanvasi Kalyan Ashram' premises in Khanvel, Silvassa	500	100
7	Providing necessary medical equipment in Dr. Hedgewar Institute of Medical Sciences and Research (DHIMSR) Hospital in Amravati District, Maharashtra.	20000	75
8	Procurement of Advance Life support (ALS) Ambulances and other mobility support vehicles for medical educational institutions of the Health Department, Govt. of Manipur	1000	90
9	Development of AFC Complex at Lungleng, Aizwal District, Mizoram	1000	100
10	Supply, installation and commissioning of 50 nos. of Water ATM (WATM) in 50 locations of Basti region of Uttar Pradesh.	10000	75
11	Construction of Emergency Response Centre (ERC) building near Badrish Lake in Badrinath Town, Uttarakhand	15000	75
12	Rectification of toilets constructed by PFC in FY 2014-15 under CSR Swachh Bharat Swachh Vidyalaya Abhiyan (SBSV) in the States of Andhra Pradesh, after survey of toilets-2 nd Phase	10000	75
13	Various development works in the 3 blocks (Piro, Bihiya, Jagdishpur) of Arrah District, Bihar-Bhojpur Village Development Programme	100000	75
14	Construction of State of Art Building for Interdisciplinary Centre for Energy Research (ICER), IISc Bengaluru, Karnataka' through IISc Bengaluru.	300	NA
15	Creating sustainable livelihood opportunities for 500 women through oyster mushroom cultivation, marketing and branding, through District Administration Aurangabad'	500	100
16	Providing additional rooms, toilets and drinking water facility in Primary Health Centres (PHC), Schools, Anganwadis and construction of Gram Panchayat Building in selected Mandals in Suryapet District, Telangana	15000	75
17	Supply, Installation and Commissioning of 64 Slice Computed Tomography Scanner with 5-year warranty in MNJ Institute of Oncology & Regional Cancer Centre (MNJ), Hyderabad	12000	75
18	Providing skill development training to 1000 nos. of persons belonging to under privileged sections of the society in various locations in India	1000	100
19	Providing CT scan machine at Naga Hospital Authority Kohima.	36000	95
20	Upgradation of 'Healthcare Services' and providing Equipment for 'Free Community Kitchen' for The Kalgidhar Society, Baru Sahib, Sirmour, H.P (TKS)	2000	100
21	Supply and Installation of R.O Water Treatment Plant in the Villages of Palnadu District, Andhra Pradesh	200000	75
22	Procurement of (1) nos. of Cancer Detection & Awareness Mobile Van and related equipment to Bharat Sevashram Sangha (BSS) to be Stationed at Murshidabad, Kolkata	50000	75
23	Improvement/upgradation of Cantonment Board Hospital/ Dispensary in Lansdowne Cantonment, Uttarakhand	15000	75
24	Renovation and Improvement of Educational and allied infrastructures of 20 numbers of schools in Kandhamal District, Odisha	3173	100
25	Supply of life saving medical device for poor cancer patients being admitted in KGMU, Lucknow.	10000	75
26	Rectification of toilets constructed by PFC in FY 2014-15 under CSR Swachh Bharat Swachh Vidyalaya Abhiyan in the State of Rajasthan	4000	75
27	Supply of sanitation and hygiene items for prevention of adverse effect on health of sanitation workers in Municipal Corporation of Rourkela, Sundergarh District, Odisha	200000	50
28	Upgradation of public Health infrastructure in various villages of Thoothukud District Tamilnadu.	75000	75
29	Providing various equipments/items for operationalisation of Mother and New Born Care Unit (MNCU) at 10 government health centres of Gautambudhnagar District Uttar Pradesh	100000	75
30	Contribution to PM CARES Fund	NA	NA

* Approximate beneficiaries

NA - Not Available

Principle 9 : Businesses should engage with and provide value to their consumers in a responsible manner

ESSENTIAL INDICATORS

1. Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

PFC has developed the Fair Practices Code (FPC) for its lending operations based on the RBI guidelines, which intends to provide assurance to all the borrowers of the Company's commitment to fair dealing and transparency in its businesses transactions. The Board of Directors periodically reviews the status of compliance of Fair practices code. For the financial year 2022-23, no complaints were received under the Fair Practices Code.

PFC also has in place a system wherein the customer feedback forms are circulated to our borrowers/lenders periodically covering aspects like suitability of PFC products/ services, time taken for sanction/execution of loan, resolution of customer issues etc. The feedback is analysed, reviewed and necessary corrective action is taken wherever required.

2. Turnover of products and/ services as a percentage of turnover from all products/service that carry information about:

The Company is a NBFC offering financial products which mainly consists of loans for the power sector. The necessary terms & conditions relating to environmental and social parameters, safe and responsible usage, recycling & safe disposal etc. relevant to the concerned project and other legally binding clauses etc. are generally incorporated in the loan documents.

3. Number of consumer complaints in respect of the following:

	FY 2022-23		Remarks	FY 2021-22		Remarks
	Received during the year	Pending resolution at end of year		Received during the year	Pending resolution at end of year	
Data privacy	Nil	Nil	-	Nil	Nil	-
Advertising	Nil	Nil	-	Nil	Nil	-
Cyber-security	Nil	Nil	-	Nil	Nil	-
Delivery of essential services	Nil	Nil	-	Nil	Nil	-
Restrictive Trade Practices	Nil	Nil	-	Nil	Nil	-
Unfair Trade Practices	Nil	Nil	-	Nil	Nil	-
Other:	31	Nil	-	51	1	-

4. Details of instances of product recalls on account of safety issues:

Not Applicable.

5. Does the entity have a framework/policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes, The Company has a comprehensive risk management policy which essentially covers cyber security and related aspects. The policy is an internal document of the Company available on its intranet.

6. Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products/services.

Not Applicable.



LEADERSHIP INDICATORS

1. Channels/platforms where information on products and services of the entity can be accessed (provide web-link, if available).

PFC provides a comprehensive range of financial products and related advisory and other services from project conceptualisation to the post-commissioning stage to our clients in the power sector, including for generation (conventional and renewable), transmission and distribution projects as well as for related renovation and modernisation projects. The Company ensures that adequate disclosures in respect of its financial products & services are displayed on the Company's website.

2. Steps taken to inform and educate consumers about safe and responsible usage of products and/or services.

The Company is a NBFC offering financial products. The Company ensures that adequate disclosures in respect of its financial products & services are displayed on its Corporate website and other stakeholder/media communications issued from time to time. We also conduct periodic meets with our borrowers and PFC executives also visit the customers' offices/project sites to share the information and salient features regarding the products and services of the Company.

3. Mechanisms in place to inform consumers of any risk of disruption/discontinuation of essential services.

Yes, PFC has well defined Business Continuity Policy & Disaster Management / Recovery Plan. The Policy defines process & procedures to ensure that the IT Operations/Services remain continuously available to users in the event of disruptions/disasters. The Disaster Recovery site has been strategically commissioned in different seismic zone (Mumbai). With this, PFC can continue its business operation during any disaster or cyber security incidents.

4. Does the entity display product information on the product over and above what is mandated as per local laws? (Yes/ No/ Not Applicable) If yes, provide details in brief. Did your entity carry out any survey with regard to consumer satisfaction relating to the major products/services of the entity, significant locations of operation of the entity or the entity as a whole? (Yes/No)

The Company is a NBFC offering financial products, hence it is ensured that adequate disclosures are made to its borrowers through loan agreements and documents and through our corporate website.

5. Provide the following information relating to data breaches:

a) Number of instances of data breaches along-with impact

b) Percentage of data breaches involving personally identifiable information of customers

Nil for the financial year 2022-23.

Annexure to Business Responsibility & Sustainability Report

The links of relevant policies approved by the Board of Directors of the Company are given below:-

Name of the Policy	Web links	
	English	Hindi
CSR and Sustainability Policy	https://www.pfcindia.com/DocumentRepository/ckfinder/files/CSR/CSR%20Policy.pdf	https://pfcindia.com/hnsite/DocumentRepository/ckfinder/files/CSR/HINDI_PFCs_CSR_and_Sustainability_Policy.pdf
Fair Practice Code	https://www.pfcindia.com/DocumentRepository/ckfinder/files/Statutory_Requirements/Codes_and_Policies/Fair_Practices_Code/2020-09-02%20Fair%20Practice%20Code%20of%20PFC%20updated%20.pdf	http://pfcindia.com/hnsite/Home/VS/62
Code of Business Conduct and Ethics	https://www.pfcindia.com/Default/ViewFile/?id=1472556128687_Code%20of%20Conduct%2017042015.pdf&path=Page&Name=Code%20of%20Conduct%20for%20Board%20of%20Directors%20and%20Senior%20Management%20Personnel	http://pfcindia.com/hnsite/Home/VS/63
Anti-Fraud Policy	https://www.pfcindia.com/Default/ViewFile/?id=1471520577857_ANTI%20FRAUD%20POLICY%2005_11_2011.pdf&path=Page&Name=Anti%20Fraud%20Policy	http://pfcindia.com/hnsite/Home/VS/65
Whistle-Blower Policy	https://www.pfcindia.com/Default/ViewFile/?id=1490188785276_WBP.pdf&path=Page	https://pfcindia.com/hnsite/Default/ViewFile/?id=1490268719103_wbpHND.pdf&path=Page